

The Markup Recovery Calculator

Find the multiplier that protects your margin before you quote the next job.

Most contractors do not have a pricing problem. They have a markup problem. They add 10%, 15%, or 20% because it feels safe, then discover too late that overhead, callbacks, unpaid admin, and slow collections ate the profit. This worksheet gives you the minimum multiplier your jobs must carry before you quote the next project.

THE RULE

Markup is added to cost. Margin is kept from price. If you want a 25% gross margin, adding 25% markup is wrong. The multiplier is $1 \div (1 - \text{target margin})$. For 25% margin, the multiplier is 1.333x.

Blunt version: a 25% markup only gives you a 20% margin.

STEP 1 — Find your real loaded cost

Direct labour including payroll burden	_____	\$
Materials and rentals	_____	\$
Subcontractors	_____	\$
Equipment, fuel, disposal, permits	_____	\$
Project admin and site supervision hours	_____	\$
Expected callbacks / warranty reserve	_____	\$
TOTAL LOADED COST	_____	\$

STEP 2 — Choose the margin you actually need

- ☐ If you are a sub-trade with tight labour control: test 22–30% gross margin.
- ☐ If you carry project management, GC coordination, or warranty exposure: test 30–40%.
- ☐ If the job is messy, client-led, or schedule-risk heavy: add a risk premium before quoting.

20% = 1.250x

25% = 1.333x

30% = 1.429x

35% = 1.538x

40% = 1.667x

STEP 3 — Price the job

Loaded cost	_____	\$
Selected multiplier	_____	x
Minimum sell price before taxes	_____	\$

Do not confuse sales tax with markup. GST/QST sits on top of the selling price. It does not fund your overhead and it does not save a bad quote.

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WORKED QUEBEC EXAMPLE

A renovation contractor prices a bathroom job. Loaded cost is \$18,400: labour \$7,800, materials \$6,300, subs \$2,100, disposal/permits \$700, admin/supervision \$1,000, callback reserve \$500.

BAD QUOTE VS. REAL PRICE

Lazy 25% markup	$\$18,400 \times 1.25 = \$23,000$	Margin: 20.0%
Actual 30% margin	$\$18,400 \times 1.429 = \$26,294$	Margin: 30.0%
Difference left on table	\$3,294	One job, not a year

THE RECOVERY CHECK

- ☐ Quote one live job three ways: old markup, 25% margin, and 30% margin.
- ☐ If the market will not carry your minimum price, do not silently eat the gap. Reduce scope, change materials, change schedule, or walk.
- ☐ If every lead rejects the real price, the problem may be lead quality, positioning, or sales process — not the formula.
- ☐ Track actual labour hours weekly. If hours drift by Friday, your margin is already leaking.

WHAT PRIMEGROWTH AI BUILDS

PrimeGrowth AI turns this worksheet into an operating system: lead capture, estimate intake, follow-up, change-order approval, job-cost tracking, and owner visibility. If you want the numbers visible before the job is dead, apply for a free Operations Review.

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